UNIT - I

Introduction to Organizational Behaviour

1. Meaning of Organizational Behaviour (OB)

- **Organization** = a group of people working together in a structured way to achieve common goals.
- **Behaviour** = the way a person acts, reacts and responds to situations — what people say, do, think and feel.
- **OB** is the systematic study of how individuals and groups behave inside organisations, and how this behaviour affects the organisation's performance.
- It is an **applied behavioural science** — borrows ideas from psychology, sociology, anthropology, political science, economics and social psychology.
- Main aim: to **understand, predict, explain and control (direct)** human behaviour at work and improve effectiveness.

Simple meaning

OB = Study of Individuals + Groups + Structure, and their impact on the working of the organisation.

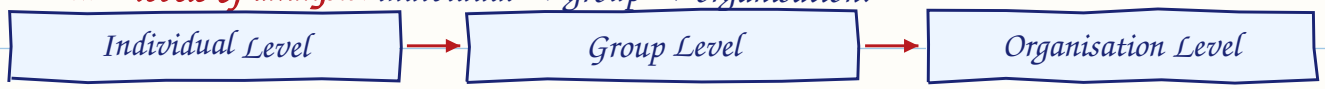
2. Definitions

1. **Stephen P. Robbins:** "OB is a field of study that investigates the impact that individuals, groups and structure have on behaviour within organisations, for the purpose of applying such knowledge towards improving an organisation's effectiveness."
2. **Fred Luthans:** "OB is directly concerned with the understanding, prediction and control of human behaviour in organisations."
3. **Keith Davis:** "OB is the study and application of knowledge about how people act within organisations. It is a human tool for human benefit."
4. **John Newstrom:** "OB is the study and application of knowledge about how people — as individuals and as groups — act within organisations."
5. **Griffin & Moorhead:** "OB is the study of human behaviour in organisational settings, the interface between human behaviour and the organisation, and the organisation itself."

→ Exam tip: write Robbins + Luthans + Davis definition and underline the key words (individual, group, structure, prediction, control).

3. Nature of OB

- **A field of study, not a discipline** — it is an inter-disciplinary body of knowledge, not a single pure subject.
- **Inter-disciplinary approach** — psychology (individual), sociology (group), anthropology (culture), political science (power & conflict), economics (incentives).
- **Applied science** — knowledge is used to solve real problems like absenteeism, turnover, low morale.
- **Normative and value-centred** — it suggests how people ought to be treated so that both the organisation and employees gain.
- **Humanistic and optimistic** — believes people have potential, growth needs and dignity.
- **Goal-oriented** — aims at organisational effectiveness and job satisfaction.
- **Total system approach** — person, group, organisation and environment are all inter-related.
- **Contingency (situational) approach** — "no one best way"; the right action depends on the situation.
- **Both an art and a science** — science because it uses systematic study; art because applying it needs skill and judgement.
- **Three levels of analysis:** individual → group → organisation.



4. Scope of OB

OB covers the following areas:

Area	What it studies
Individual behaviour	personality, perception, attitudes, learning, motivation, values, abilities
Group behaviour	group dynamics, teams, norms, cohesiveness, communication, leadership
Inter-group behaviour	conflict, cooperation, competition between departments
Organisational system	structure, design, culture, climate, change and development
Leadership & power	styles, authority, politics, empowerment
Work environment	stress, quality of work life, job design, working conditions
Human resource practices	selection, training, appraisal, rewards, career growth
External environment	impact of society, technology, globalisation, law on behaviour

5. Functions (Goals) of OB

The functions of OB are the **four goals** :

1. **Describe** — how people behave under different conditions.
2. **Understand** — why people behave the way they do.
3. **Predict** — future behaviour, such as who will leave, who will perform.
4. **Control / Direct** — influence behaviour to achieve better results.

- Other managerial functions supported by OB: **planning, organising, staffing, directing (leading), controlling** .
- OB helps in: improving employee–employer relations, motivating people, building teams, reducing conflict, managing change and increasing productivity.

Importance of OB (short points)

Better human relations | Higher productivity | Job satisfaction | Lower absenteeism and turnover | Effective leadership | Easier handling of change | Better use of human resources | Ethical and healthy culture.

6. Contributing Disciplines to OB

Discipline	Level	Contribution
Psychology	Individual	learning, motivation, personality, perception, attitude, stress
Sociology	Group	group dynamics, roles, communication, power, conflict, culture
Social psychology	Group/individual	change, attitude change, group decision-making
Anthropology	Organisation	values, culture, comparative analysis across nations
Political science	Group/organisation	conflict, power, intra-organisational politics
Economics	Organisation	incentives, productivity, labour issues

7. Challenges and Opportunities for OB

- Globalisation and cultural diversity — managing a diverse workforce.
- Improving quality and productivity (TQM, re-engineering).
- Improving people skills; empowering employees.
- Coping with "temporariness" (gig work, change, remote work).
- Stimulating innovation and change.

- Declining loyalty, work–life balance issues.
- Improving ethical behaviour in a gray area of right and wrong.
- Technology, AI and automation changing jobs.

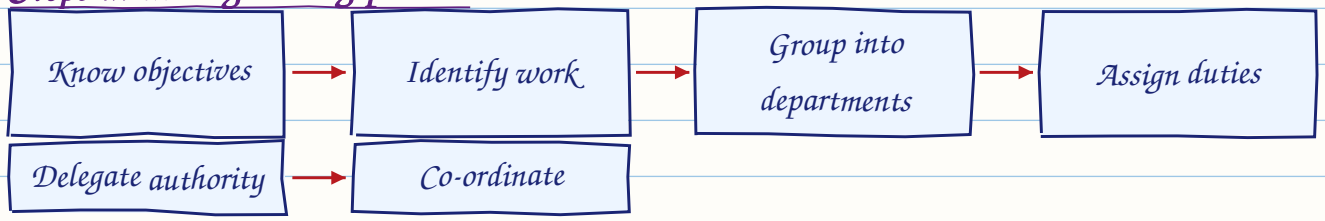
8. Organizing Process

Organizing is the managerial function of arranging activities, resources and people into a structure so the plan can be executed. It is the second function after planning.

Definition

"Organizing is the process of identifying and grouping the work to be performed, defining and delegating responsibility and authority, and establishing relationships for the purpose of enabling people to work most effectively together in accomplishing objectives." — Louis Allen

Steps in the organizing process



1. **Determine the objectives and plans** — organisation cannot be built without knowing what is to be achieved.
2. **Identify and list the activities** — all the work needed is listed (production, sales, finance, HR).
3. **Classify / group the activities** — similar and related jobs are put together (departmentation: by function, product, territory, customer, process).
4. **Assign duties to individuals** — right person for the right job; clear job description.
5. **Delegate authority** — give authority equal to the responsibility.
6. **Establish reporting relationships** — who reports to whom; chain of command, span of control.
7. **Co-ordinate** — vertical and horizontal co-ordination to avoid conflict and duplication.
8. **Provide resources and feedback** — men, money, material, machines and review.

Principles of organising (key)

Unity of objective | Specialisation | Authority–responsibility parity | Unity of command | Scalar chain | Span of control | Delegation | Balance | Flexibility | Continuity | Co-ordination | Efficiency.

9. Elements / Building Blocks of Organising

Element	Meaning
Work specialisation	dividing a job into small tasks so workers become experts
Departmentation	grouping jobs into departments

Element	Meaning
Chain of command	unbroken line of authority from top to bottom
Span of control	number of subordinates one manager can supervise effectively
Centralisation	decision power kept at top
Decentralisation	decision power spread to lower levels
Formalisation	extent to which jobs are standardised by rules
Authority	right to give orders and expect compliance
Responsibility	obligation to perform the assigned duty
Accountability	answerability for the results

→ Remember: Authority flows downward, responsibility flows upward, accountability cannot be delegated.

Types of organisation structure

- **Line organisation** — simple, direct authority from top to bottom; quick decisions; suitable for small firms.
- **Line and staff** — line managers get advice from staff specialists (HR, legal, R&D).
- **Functional** — specialists have authority over their function; violates unity of command.
- **Matrix** — dual reporting (project + function); flexible but can create confusion.
- **Committee / team structure** — decisions by groups.
- **Divisional and network structures** — large and global firms.

10. Making Organizing Effective

How can the organising process be made effective?

- **Clear objectives:** everyone should know the purpose of the organisation and each job.
- **Right structure:** keep the structure simple, flexible and suited to strategy, size, technology and environment.
- **Clear job descriptions:** avoid overlapping, gaps and role confusion.
- **Parity of authority and responsibility:** no responsibility without authority.
- **Proper delegation and empowerment:** trust and train subordinates.
- **Optimum span of control:** neither too wide nor too narrow (usually 6–8 at top, more at lower levels for routine work).
- **Unity of command:** one person gets orders from one boss only.
- **Effective co-ordination and communication:** open two-way channels, meetings, information systems.
- **Right people:** proper selection, training, development and motivating rewards.
- **Balanced centralisation and decentralisation.**

- **Informal organisation recognised:** use informal groups positively.
- **Regular review and flexibility:** restructure when the environment or strategy changes.
- **Good organisational culture and leadership support.**

Result of effective organising

Efficient use of resources + Clear roles + Fast decisions + Better morale + Growth and adaptability + Achievement of goals.

11. Understanding Individual Behaviour

Individual behaviour is the way a person acts or reacts at work. It is the **foundation of OB** because organisations are made of individuals.

Basic model — Stimulus–Organism–Response

Stimulus (situation) → Individual (organism) → Response (behaviour)

- Behaviour is **caused**, **goal-directed** and **motivated**.
- The same stimulus may produce different behaviour in different people because of **individual differences**.

Formula (Kurt Lewin)

$B = f(P, E)$ — Behaviour is a function of Person and Environment.

Factors influencing individual behaviour

Personal factors

age, gender, education, intelligence, abilities, aptitude, interests, skills

Psychological

personality, perception, attitude, values, motivation, learning

Organisational

job design, rewards, culture, leadership, work group, policies

Environmental

family, society, culture, economy, technology, legal factors

Individual differences (why people differ)

- Physical and biological characteristics.
- Intelligence and mental ability (IQ, EQ).
- Personality and temperament.
- Values, beliefs, attitudes and needs.
- Cultural and family background.
- Aptitude, skill and experience.

→ A manager must recognise individual differences in selection, training, job design, motivation and leadership.

12. Attitude

Meaning: An attitude is a learned, relatively stable tendency to respond in a favourable or unfavourable manner towards people, objects, events or ideas.

Definition

"Attitudes are evaluative statements — either favourable or unfavourable — concerning objects, people or events. They reflect how one feels about something." — Robbins

Characteristics of attitudes

- Learned (not inborn) from family, friends, society, experience.
- Relatively permanent but can change.
- Evaluative — good/bad, like/dislike.
- Directed towards an object (person, job, company).
- Have intensity and direction (positive, negative, neutral).
- Influence behaviour but are not behaviour itself.

Components of attitude (ABC / tri-component model)

Component	Meaning	Example
Cognitive (belief)	opinion, knowledge, thought	"My job is secure and well paid."
Affective (feeling)	emotional part	"I love working here."
Behavioural (conative)	intention to act	"I will work hard / stay long."

Functions of attitudes (Katz)

- **Adjustment** — helps get rewards and avoid punishment.
- **Ego-defensive** — protects self-image.
- **Value-expressive** — express core values.
- **Knowledge** — gives structure and meaning to the world.

Job-related attitudes

- **Job satisfaction** — positive feeling about the job.
- **Job involvement** — identification with the job.
- **Organisational commitment** — loyalty: affective, continuance, normative.

Formation of attitudes

Sources: family, peer group, personal experience, education, media, culture, organisational climate and role models.

Changing attitudes

1. Providing new information / persuasion.
2. Using fear or reward.
3. Group influence and participation.
4. Training and counselling.
5. Cognitive dissonance reduction (Festinger) — people try to reduce inconsistency between attitudes and behaviour.
6. Change in the work environment.

Cognitive dissonance

Any incompatibility between two or more attitudes, or between behaviour and attitudes, creates discomfort; people change one of them to restore balance. Example — a smoker who knows smoking is harmful may say "it relaxes me."

Importance in organisation

Satisfied employees → low absenteeism, low turnover, better customer service, higher productivity. Managers should measure attitudes by **attitude surveys**, interviews, suggestion boxes.

13. Perception

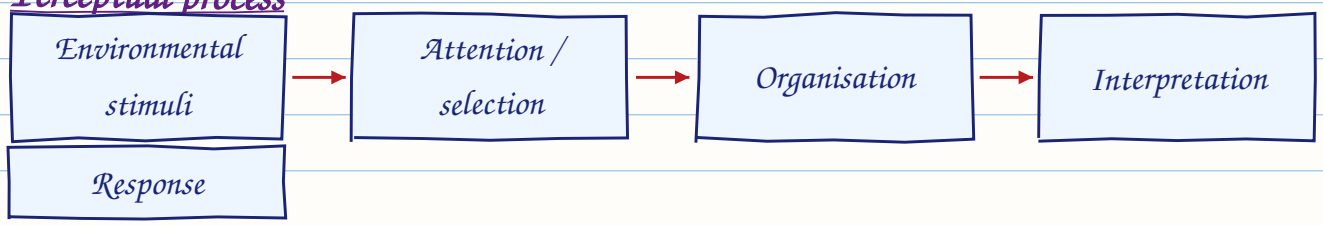
Meaning: Perception is the process by which individuals select, organise and interpret sensory information to give meaning to their environment.

Definition

"Perception is a process by which individuals organise and interpret their sensory impressions in order to give meaning to their environment." — Robbins

- People act on **perceived reality**, not on actual reality.
- Two persons may see the same thing differently (e.g., a manager's strictness seen as "discipline" or "harassment").

Perceptual process



1. **Receiving** stimuli through the five senses.
2. **Selection** — we cannot notice everything; we filter.
3. **Organisation** — grouping into patterns: figure–ground, grouping (similarity, proximity), closure.
4. **Interpretation** — giving meaning based on past experience.

5. **Response** — attitude, feelings or action.

Factors influencing perception

The Perceiver	The Target
attitudes, motives, interests, experience, expectations, personality	novelty, motion, sound, size, background, proximity, similarity
The Situation	**Stimulus**
time, work setting, social setting, organisational context	intensity, contrast, repetition, size, movement

Perceptual distortions / errors (important!)

- **Selective perception** — notice only what fits our interests.
- **Halo effect** — one good trait colours the entire judgement (a smart dress = good worker).
- **Horn effect** — one bad trait spoils the whole impression.
- **Stereotyping** — judging by group membership (age, gender, caste, region).
- **Projection** — attributing own faults or feelings to others.
- **Contrast effect** — evaluating a person by comparison with others recently met.
- **Primacy and recency effect** — first or last impression dominates.
- **Self-fulfilling prophecy (Pygmalion effect)** — expectation influences outcome.
- **Perceptual defence** — ignoring disturbing information.
- **Attribution errors** — see below.

Attribution theory (Kelley)

Explains how we decide whether behaviour is **internally** (personal) or **externally** (situational) caused. Based on three cues:

- **Distinctiveness** — does the person act this way in other tasks?
- **Consensus** — do others behave the same way?
- **Consistency** — does the person behave this way regularly over time?

→ Fundamental attribution error: we blame the person (internal) and ignore situation when judging others. Self-serving bias: success → my ability, failure → bad luck.

Importance of perception in organisations

- Hiring (interviews), performance appraisal, employee effort evaluation, loyalty, expectations, ethical judgement.

Managing perception

Be aware of own biases, get facts, use multiple sources, communicate clearly, training in diversity, empathy, feedback.

14. Learning

Meaning: Learning is any relatively permanent change in behaviour that occurs as a result of experience or practice.

Definition

"Learning is any relatively permanent change in behaviour that occurs as a result of experience." — Robbins. Not due to maturation, drugs or fatigue.

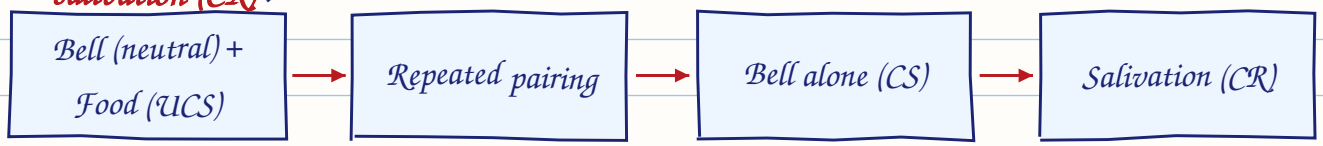
Features

- Involves **change** in behaviour (good or bad).
- Change must be **relatively permanent** .
- Based on **experience, practice, training** .
- Continuous lifelong process.
- Reflected in behaviour (shown through performance).

Theories of learning

(a) Classical Conditioning — Ivan Pavlov

- A neutral stimulus paired with a natural (unconditioned) stimulus produces a response.
- Pavlov's dog: **Food (UCS) → salivation (UCR)** ; bell + food repeated → **bell (CS) → salivation (CR)** .



- Example at work: employees feel anxious when the boss's name appears on the phone.
- Learning here is **involuntary, reflex-like** .

(b) Operant Conditioning — B. F. Skinner

- Behaviour is a function of its **consequences** . Voluntary behaviour that is rewarded is repeated; punished is not.

Technique	Meaning	Example
Positive reinforcement	giving a pleasant result after desired behaviour	bonus for good sales
Negative reinforcement	removing an unpleasant thing after desired behaviour	no supervision once target met
Punishment	applying an unpleasant result after undesired behaviour	warning for late coming
Extinction	withholding reinforcement so behaviour fades	ignoring attention-seeking

- **Schedules of reinforcement:** continuous; partial — fixed interval, variable interval, fixed ratio,

variable ratio (strongest).

→ Positive reinforcement is the most effective; punishment only tells what not to do.

(c) Cognitive Learning

- Learning through **insight, thinking, understanding** (Tolman, Kohler). People form mental maps, expectations and solve problems.

(d) Social (Observational) Learning — Albert Bandura

- People learn by **observing and imitating models** . Four processes:

Attention → Retention → Motor reproduction → Reinforcement

- Example: new employee copies the skilled senior; role models and mentors.

Learning cycle (Kolb)

Concrete experience → Reflective observation → Abstract conceptualisation → Active experimentation.

Organisational applications of learning

- Training and development, on-the-job training, coaching, mentoring.
- Behaviour modification (**OB Mod**): identify behaviour → measure → analyse → intervene → evaluate.
- Reward systems, discipline, performance feedback, skill building, knowledge management and learning organisation.

15. Personality

Meaning: Personality is the sum total of ways in which an individual reacts to and interacts with others. It is the unique, stable pattern of thoughts, feelings and behaviour of a person. The word comes from Latin **persona** (mask).

Definition

"Personality is the dynamic organisation within the individual of those psychophysical systems that determine his unique adjustments to his environment." — Gordon Allport

Nature / characteristics

- Unique to each person; relatively stable and consistent.
- Organised whole (not separate traits); dynamic and can develop.
- Includes physical, mental, emotional and social aspects.

Determinants of personality

Heredity

height, looks, temperament, genes, energy level

Environment

culture, family, social class, school, peers, norms

Situation	Biological
specific circumstances affect expression of traits	brain, physical features, endocrine glands

Theories of personality

- **Trait theory (Allport, Cattell)** — personality is made of stable traits (e.g., shy, honest, aggressive). Cattell gave 16 source traits (16PF).
- **Type theory** — people are classified into types:
  - Sheldon's body types: endomorph (relaxed), mesomorph (active), ectomorph (introvert).
  - **Jung:** introvert vs extrovert.
  - **Friedman & Rosenman:** Type A (impatient, competitive, time-conscious) vs Type B (relaxed, easy-going).
- **Psychoanalytic theory (Freud)** — personality has three parts: **Id** (instinct, pleasure), **Ego** (reality), **Superego** (conscience/morality).
- **Humanistic (Rogers, Maslow)** — self-concept and self-actualisation.
- **Social learning theory** — personality learned from environment and models.

Big Five Model (OCEAN)

Trait	High scorer is
Openness	imaginative, curious, creative
Conscientiousness	organised, dependable, hard-working
Extraversion	sociable, assertive, talkative
Agreeableness	cooperative, trusting, warm
Neuroticism (Emotional stability)	anxious, insecure, moody (low = calm)

→ Conscientiousness is the best predictor of job performance across jobs.

MBTI (Myers–Briggs Type Indicator)

Four pairs of preferences: **E/I** (extrovert/introvert), **S/N** (sensing/intuition), **T/F** (thinking/feeling), **J/P** (judging/perceiving) → 16 personality types (e.g., INTJ, ESFP).

Other important personality traits at work

- **Locus of control** (Rotter): **internals** believe they control events; **externals** believe luck/fate does.
- **Machiavellianism:** manipulative, pragmatic, believes ends justify means.
- **Self-esteem:** degree of liking oneself; **self-efficacy** (Bandura): belief in one's ability to succeed.
- **Self-monitoring:** ability to adjust behaviour to situations.
- **Risk-taking propensity; Type A/B; authoritarianism; narcissism.**

Personality and job fit (Holland's theory)

Realistic, Investigative, Artistic, Social, Enterprising, Conventional — best performance when personality matches the job.

Importance for managers

Helps in selection, placement, team building, leadership choice, motivation, conflict handling and predicting behaviour.

16. Quick Revision — Unit I

Key points to remember

OB = individuals + groups + structure | 4 goals: describe, understand, predict, control | Organising: identify, group, assign, delegate, co-ordinate | Attitude: ABC components | Perception: select, organise, interpret; halo, stereotyping, projection | Learning: classical, operant, cognitive, social | Personality: heredity + environment + situation; Big Five OCEAN.

Possible exam questions

1. Define OB. Explain nature and scope of OB.
2. Explain the organising process. How can organising be made effective?
3. What is attitude? Explain components and how attitudes are formed and changed.
4. Explain perception and perceptual errors.
5. Explain theories of learning with examples.
6. Discuss determinants and theories of personality.